



Contract Accounting

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Submission of Receivables to Collection Agency

Purpose

You can use the following functions to submit receivables, make required postings, and process the exchange of information with collection agencies:

- [Releasing Receivables for Collection](#)
- [Submission of Receivables to Collection Agency](#)
- [Processing and Managing Collection Items](#)
- [Recalling Submitted Receivables](#)
- [Forwarding Information to Collection Agencies](#)
- [Processing of Incoming Information from Collection Agencies](#)

Process Flow

In the system receivables are submitted in two steps. First you have to release the items for collection. Then you can submit the released items. The collection items created are recorded in the system. You can carry out the release and submission of the items manually, automatically as a mass run, or automatically in other business transactions. The system can determine the collection agency to which the receivables are to be submitted automatically during release or you can specify a collection agency when you submit. For the submission, the system checks whether the items entered manually or selected by the release run have a status that permits submission. For each collection agency, it creates a list and/or a submission file with all information relevant for collecting the receivables and calls the corresponding API for the submission. You can generally submit all items with **Receivable Released for Submission** (01) or **Receivable Called Back** (09) status.

Communicating with Collection Agencies by Using Enterprise Services or APIs

Use

You can communicate with your collection agencies by using files (creation of submission and information files, import of collection agency files) or by using Enterprise Services or APIs. SAP provides the necessary APIs and Enterprise Services, and a service-oriented interface. If you activate the service-oriented interface, it replaces the file interface and offers the following additional functions:

- Groupings of collection items for submission, along with external grouping information (external collection cases or court cases), are supported by the application in the form of collection units.
- External status information on the progress of processing is integrated in the submitting company's own status information by using the collection history (SAP Easy Access screen: ► **Account** ► **Further Information** ► **Collection History** ► (transaction FPCOLLHIST).
- Payments reported by the collection agency result in the posting of receivables which are credited to the collection agency.

1. To be able to use the service-oriented interface for submissions to collections, you have to activate it in Customizing for Contract Accounts Receivable and Payable. To do this, in Customizing for Contract Accounts Receivable and Payable, choose either [Integration > Enterprise Services > Make Central Settings for Enterprise Services](#) or [Business Transactions > Submit to Collections > Activation of Communication Through API or Enterprise Service](#).

i Note

For more information about the dependencies related to activating the service-oriented interface, see the documentation for the indicator you use to activate the service-oriented interface.

⚠ Caution

If you previously communicated with collection agencies by file, do not activate communication via Enterprise Service/API until you have processed all the information that you received by file and stored in the system.

After you have activated communication by using Enterprise Services or APIs, you can no longer process information that you have received by file and stored in the system.

When communicating with collection agencies by using files, the system saves the exchanged information in a different table than when communicating with collection agencies by using the available Enterprise Services/APIs. If you switch to communication by using Enterprise Services/APIs, you must migrate the data. To do this, in the SAP Easy Access screen, choose [Administration > Migrate Collection Items for Service Communication](#) (transaction FP03MIG).

2. Then you make the necessary settings for collection agency postings in Customizing for Contract Accounts Receivable and Payable in the activities [Define Specifications for Processing Collection Agency Information](#) and [Define Specifications for Collection Agency Postings](#) under [Business Transactions > Submit to Collection Agency](#).
3. You enter the allowed status information about the progress of processing at external collection agencies in Customizing for Contract Accounts Receivable and Payable, under [Business Transactions > Submit to Collection Agency > Define Categories of Collection Units](#).
4. You can classify collection units when you submit to collections; you enter the allowed categories in Customizing for Contract Accounts Receivable and Payable, under [Business Transactions > Submit to Collection Agency > Define Categories of Collection Units](#).
5. To display status information in the collection history, select the **Coll. Hist.** column in Customizing for Contract Accounts Receivable and Payable, under [Business Transactions > Submit to Collection Agency > Define Submission Status](#) and under [Maintain Status of Collection Units](#).
6. In addition, define a variant for the collection history with the event **0007 Submit for Collection** in Customizing for Contract Accounts Receivable and Payable, under [Business Transactions > Dunning > Collection History > Define Variants](#).

Related Information

[Commissioned Outstanding Collections Processing](#)

Releasing Receivables for Collection

Use

The release of open (statistical and normal) items is supported, including also partially paid items, credit memos and discounts

determine the collection agency to which the receivables are to be submitted for items released both manually and automatically. As a result of the release, the released items receive the submission status 01 (**Receivable Released for Submission**). The document receives the collection item number 001.

Prerequisites

You have authorization to submit receivables to collection agencies (authorization object F_KKINK).

Activities

1. For the system to determine the collection agency automatically, specify the collection agencies you work with in Customizing for Contract Accounts Receivable and Payable under **Business Transactions > Submit to Collection Agency > Define Collection Agencies**, or on the SAP Easy Access screen, choose **Settings > Current Settings > Define Collection Agencies**.
2. Program an installation-specific function module and enter it for event 5060 in the Customizing for Contract Accounts Receivable and Payable under **Program Enhancements > Define Customer-Specific Function Modules**. (See the documentation for function module FKK_SAMPLE_5060.)

At event 5060, you can determine the collection agency, for example, using the following criteria:

- Total amount of the receivables of a business partner to be released
- Business partner type (private/business customer)
- Business partner address (postal code)

In event 5060, you can also implement the determination of collection agencies from external systems and define the order in which receivables are to be submitted to the collection agencies that you work with.

3. If, in your organization, you release receivables to different collection agencies based on specific rules, you can define these derivation rules in Customizing for Contract Accounts Receivable and Payable under **Business Transactions > Submit to Collection Agency > Define Derivation Rules for Collection Agencies Responsible**.

The derivation rules defined in Customizing are evaluated by the derivation tool. The derivation tool is always called in function module FKK_COLL_AG_SAMPLE_5060, if items are released for collection individually or in a mass release. The derivation tool determines the responsible collection agency in one or more derivation steps from a number of source fields of the extendable structure FKKCOLLAG. The number of derivation steps corresponds to the number of derivation rules that you define in Customizing.

4. In event 5059, which is processed when you release receivables, you can exclude items from being released. To do this, define exclusion criteria in an installation-specific function module and enter this module for event 5059 in Customizing for Contract Accounts Receivable and Payable under **Program Enhancements > Define Customer-Specific Function Modules**. (See the documentation for sample function module FKK_SAMPLE_5059.)

Manual Release

Use

Releasing individual uncollectible receivables for collection and resetting the release

You can select individual unpaid items by business partner, contract account, document, or net due date, and set them manually for a collection order. You can also manually reset releases that have already been made for collection for individual items of a business partner.

Activities

To release items for collection:

1. In the SAP Easy Access screen, choose ►► **Account** ► **Submit to Collections** ► **Release Items for Collection** ► (transaction FP03E).
2. Enter the criteria that you want to use to select the items to be submitted.

If you select the **Only Items to Be Submitted** indicator, the system displays only those items that you have not yet submitted to a collection agency. If you set the **Written Off Items** indicator, the items of a business partner that have already been written off are also offered for release for collection.
3. Choose **Continue**.
4. Select the items that you want to release for collection and choose ►► **Edit** ► **Hold for Collection Order** ►.

As a result, you have released the items for submission. Via ►► **Items** ► **Refresh** ► you can update the display. This means that the released receivables are no longer displayed. Via ►► **Items** ► **Other Receivables** ► you can select new items.

To reset the release:

1. In the transaction **Release Items for Collection**, select the required items.
2. In the menu, choose ►► **Edit** ► **Reset Release** ►.
3. Save your entry.

Automatic Release

Use

Using the mass run **Release for Collection** is recommended if you are processing large volumes of data.

Activities

1. In the SAP Easy Access screen, choose ►► **Periodic Processing** ► **For Contract Accounts** ► **Submission for Collection** ► **Release Run** ► (transaction FP03M).
2. Assign a date ID and an identification that you can use to identify the run later and on the **General Selections** tab, restrict the selection of the receivables to be released. On the **Additional Selection** tab, you can refine this search using additional criteria and also include statistical and written off items in the selection. You can also restrict the selection using a run variant according to your company-specific requirements (see also the documentation for the field **Execution Variant** and the section [Releasing Receivables for Collection](#)).
3. Choose whether you want to start a simulation run or actually release the receivables.

Automatic Release

Use

You want to release receivables for collection in other business transactions.

Integration

The release of receivables for collection is integrated in the following business processes:

- Dunning
- Write-off
- Write-off in mass run

Key Features

If you make the relevant system settings, items that have reached a certain dunning level are automatically released for collection.

If you select the **Release Receivables for Submission to Collection Agency** indicator during manual write-off or in the write-off run, the receivables written off are automatically released for collection.

During the release, the programs determine the items to be released, release the positions, and set the submission status **01 (Receivable Released for Submission)**. The document is given the collection item number **001**. The collection agency is determined in event 5060.

Activities

Dunning

If you want to release items automatically in the dunning run, in Customizing for Contract Accounts Receivable and Payable, under **►Business Transactions►Dunning Notices►Configure Dunning Activities►**, define a relevant dunning activity and enter the function module FKK_COLL_AGENCY_RELEASE_0350 for this activity. The function module is processed in the dunning run. If the dunning level is reached, the module selects the items and releases them automatically. See also the documentation for the Customizing activity.

Write-Off

1. In the SAP Easy Access menu, choose **►Account►Write Off Items►** (transaction FP04).
2. Then proceed as described in the section [Writing Off Items](#).

Mass Write-Off

1. In the SAP Easy Access screen, choose **►Periodic Processing►For Contract Accounts►Write-Off Run►** (transaction FP04M).
2. Then proceed as described in the section [Writing Off Items in Mass Runs](#).

Use

After you have released items, you have to submit them.

Prerequisites

You must have authorization to submit receivables to collection agencies (authorization object F_KKINK). In Customizing for Contract Accounts Receivable and Payable, under: [Business Transactions](#) > [Submit to Collection Agency](#) > [Define Submission Status](#), you have defined the status for which an item may be submitted. In the standard system, you can submit items that have one of the following submission statuses:

- [Receivable Released for Submission](#) (01)
- [Receivable Recalled](#) (09)
- [Receivable Partially Cleared](#) (13)
- [Receivable Released and Partially Not Collectable](#) (14)
- [Receivable Recalled and Partially Not Collectable](#) (16)

Key Features

For the submission, the system carries out the following steps:

1. Selects released items

- Holds the date of submission, the submission status [02 \(Receivable Submitted\)](#), and the submitted amount, if this is different to the amount of the open item, in the collection item
- Enters a payment lock, dunning lock, and, if it exists, the alternative payer in the document
- Generates a list for each collection agency containing all receivables that are being submitted. The system can process collection items for different collection agencies in one submission run and creates a list when doing so. You can process the list with the standard functions for lists. From the list, you can branch to the master data of the business partner, the business partner's contract account, the master data of the collection agency, and the posted document.

2. Transfer of the Submission Data

◦ Submitting Using Files

In the standard system, the system can create a separate file containing the receivables being submitted for each collection agency in a submission run. You can forward the file directly to the collection agency. For your own information purposes, you can store the file on an application server.

◦ Submission via Enterprise Service or API

If you use this option, the data on submission is sent using enterprise service [Request Commissioned Outstanding Collections as Bulk](#) or API [Collection Agency - Submit Bulk Request](#). A service call relates to only one collection agency. The message of a service can contain receivables that are submitted to the given collection agency for multiple business partners. However, for each service call, there is a maximum number allowed for business partners. Therefore, several service calls can sometimes be necessary during a submission run for a collection agency.

Activities

The Customizing delivered contains all required submission statuses. If you also want to implement a company-specific status for submitted items, you have to enter this in Customizing for Contract Accounts Receivable and Payable, under: ► **Business Transactions** ► **Submit to Collection Agency** ► **Define Submission Status** ►.

If, in the manual or automatic submission of a receivable, in addition to the items of a business partner already released for submission, you also want to submit all items or due items for this business partner to a collection agency without first releasing them, writing them off, or dunning them:

Program an installation-specific function module using the sample function module FKK_SAMPLE_5069. See the documentation for the function module.

Define this function module for event 5069 in Customizing for Contract Accounts Receivable and Payable, under: ► **Program Enhancements** ► **Define Customer-Specific Function Modules** ►.

In the **Submit Receivables to Collection Agencies** transaction (SAP Easy Access screen: ► **Account** ► **Submit for Collection** ► **Submit Items for Collection** ►; transaction FP03D) or in the **Submit to Collection Agencies** mass run (SAP Easy Access screen: ► **Periodic Processing** ► **For Contract Accounts** ► **Submit for Collection** ►; transaction FP03DM), select the **Submit Additional Items** indicator.

If you want the system to set payment locks, dunning locks, or alternative payers in the document, set the indicator for the required action in Customizing for Contract Accounts Receivable and Payable, under: ► **Business Transactions** ► **Submit to Collection Agency** ► **Define Specs for Submission to External Collection Agency** ►.

In event 5058, you have the option of running additional checks before submitting items to a collection agency. You can also exclude items from being submitted. If you use [debt recovery scores](#), you can implement different check variants for the debt recovery score.

At event 5057 you can perform follow-on activities after submission. You can use the sample function module FKK_SAMPLE_5057 for this.

At event 6251, you can initiate follow-on activities for items that were not submitted due to checks before submission (event 5058). You can use the sample function module FKK_SAMPLE_6251 for this.

When you submit using files and you want to add data to the submission file, you can do this in the events below in the areas of the submission file stated after the event name:

- Event 5062: Header
- Event 5064: Footer
- Event 5063: Items

To add data to the submission file, write function modules and define them for the specified events in Customizing for Contract Accounts Receivable and Payable, under: ► **Program Enhancements** ► **Define Customer-Specific Function Modules** ►. SAP provides the sample function modules FKK_SAMPLE_5062, FKK_SAMPLE_5063, and FKK_SAMPLE_5064. See also the documentation for the sample function modules.

For submission via Enterprise Service/API, enhancement options are available. You can add information to outgoing messages in the following events.

- At event 6263, you can determine documents that are sent as attachments with the submission. For instance, you can determine the original invoices in the form of PDF documents for the submitted collection items. Sample function module FKK_SAMPLE_6263 is provided for this.
- At event 6265, you can fill more detailed customer-specific data in the outgoing message of the Enterprise Service/API. Sample function module FKK_SAMPLE_6265 is provided for this.
- At event 6260 (sample function module FKK_SAMPLE_6260), you can group the collection items being submitted before the actual submission. This allows the collection agency to treat the items as a group during collection. For instance, you could assign interest and charge items to the appropriate main receivable item, thereby grouping them together in a submission group.

Manual Submission

Use

Using the [Submit Items for Collection](#) transaction, you can select individual receivables for submission to a collection agency.

Activities

1. In the SAP Easy Access screen, choose [Account](#) > [Submit for Collection](#) > [Submit Items for Collection](#) (transaction FP03D).
2. Enter the criteria that you want to use to select the items to be submitted. If you select the indicators for it, you can also include statistical and written-off items in the selection. If you set the [Submit Additional Items](#) indicator, in addition to the items released for collection, you can also automatically submit all additional open items of the business partner (see [Submitting Receivables to Collection Agencies](#)).

If you work with [debt recovery scores](#), you can enter a variant for checking the debt recovery score when you submit items.

3. Assign a collection agency to the receivables being submitted. The input help offers all collection agencies that are entered in the system. If you do not make an entry in the [Submission to Collection Agency](#) field, then the program determines the collection agency using the function module processed at event 5060, or it submits the items to the collection agency that was already determined when the items were released. For more information, see [Releasing Receivables for Collection](#).
4. Choose whether you want to simulate the submission or actually submit the receivables.

For **submitting using files**, if you set the [Write File](#) indicator and enter a path, you can create a file for your own information and store it on an application server. If you set the indicator [Payment Form ID for Collection Agency](#), all items submitted for a business partner are grouped under a payment form ID that the collection agency can specify as a payment reference in its report.

For **submission via Enterprise Service/API**, during an update run, the system automatically sends the data relevant for submission to the respective collection agency.

5. Choose whether you want the list of submitted items to be output as a standard list or in ALV format. Enter a list variant, if applicable.
6. Choose .

Automatic Submission

Using the submission run is recommended if you are processing large volumes of data.

Activities

1. On the SAP Easy Access screen, choose ► **Periodic Processing** ► **For Contract Accounts** ► **Submission for Collection** ► **Submission Run** ► (transaction FP03DM).
2. Enter a date and an ID that you can use to identify the run later.
3. Restrict the selection of items to be submitted on the **General Selections** tab by business partner, contract account, and/or company code. On the **Additional Selection** tab page, you can refine even further the selection of the items to be submitted.
4. If you set the relevant indicators on the **Submission Parameters** tab, you can also submit items that have been written off and items that have been posted statistically. If you set the indicator **Submit Additional Items**, in addition to the items released for collection, you can also submit all additional items of the business partner (see [Submitting Receivables to Collection Agencies](#)).

If you work with [debt recovery scores](#), you can enter a variant for checking the debt recovery score when you submit items.

5. Choose the collection agency that you want to submit the receivables to.

For **submitting using files**, to create a submission file, select the corresponding indicator and define a path under which the file is saved. If you set the indicator **Payment Form ID for Collection Agency**, all items submitted for a business partner are grouped under a payment form ID that the collection agency can specify as a payment reference in its report. If you set the indicator **Total Receivables to be Submitted**, the items in the file are totaled by contract account, business partner, or payment form.

For **submission via Enterprise Service/API**, during an update run, the system automatically sends the data relevant for submission to the collection agency using Enterprise Services.

6. Schedule the program run. For more information, see [Functions for Scheduling Program Runs](#).

The submission run records all submissions in logs. To ease the load on your system, you can delete these logs. To do this, on the SAP Easy Access screen, choose ► **Periodic Processing** ► **Delete Data** ► **Logs of Submissions for Collection** ► (transaction FP03DML).